| Particulars | ₹ | Particulars | ₹ |
|---|---|---|---|
| Gross profit | 50,000 | Rent received | 2,000 |
| Salaries | 18,000 | Discount received | 3,000 |
| Office rent paid | 12,000 | Carriage outwards | 2,500 |
| Advertisement | 8,000 | Fire insurance premium | 6,500 |

Adjustments:

(a) Rent accrued but not yet received ₹500

(b) Fire insurance premium prepaid to the extent of ₹1,500

(c) Provide manager's commission at 10% on profits before charging such commission.

**Dr. Profit and Loss Account for the year ended 31st December, 2017 Cr.**

| Particulars | ₹ | ₹ | Particulars | ₹ | ₹ |
|---|---|---|---|---|---|
| To Salaries | | 18,000 | By Gross profit b/d | | 50,000 |
| To Office rent | | 12,000 | By Rent received | 2,000 | |
| To Advertisement | | 8,000 | Add: Rent accrued | 500 | 2,500 |
| To Carriage outwards | | 2,500 | By Discount received | | 3,000 |
| To Fire insurance premium | 6,500 | | | | |
| Less: Prepaid | 1,500 | 5,000 | | | |
| To Manager's commission | | 1,000 | | | |
| To Net profit (transferred to capital account) | - | **9,000** | | | |
| | | 55,500 | | | 55,500 |

**Working note:**

$$\text{Manager's Commission} = \text{Net profit before charging commission} \times \frac{\text{Rate of commission}}{100}$$

Net profit = 55,500 – (18,000 + 12,000 + 8,000 + 2,500 + 5,000) = ₹10,000

$$\text{Manager's commission} = 10{,}000 \times \frac{10}{100} = 1{,}000$$

## Illustration 11

From the following balances obtained from the books of Siva, prepare trading and profit and loss account.

| Particulars | ₹ | Particulars | ₹ |
|---|---|---|---|
| Stock on 01.01.2016 | 9,000 | Bad debts | 1,200 |
| Purchases | 22,000 | Sundry expenses | 1,800 |
| Sales | 42,000 | Discount allowed | 1,700 |
| Expenses on purchases | 1,500 | Expenses on sale | 1,000 |
| Bank charges paid | 3,500 | Repairs on office furniture | 600 |

Adjustments:

a) Closing stock on, 31st December, 2016 was ₹ 4,500

b) Manager is entitled to receive commission @ 5% of net profit after providing such commission.



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